

Applied Materials: stock-pitch research

Watchlist | Semiconductor equipment, AI infrastructure and process complexity

Current view: Watchlist

Operating evidence is strong; a defensible Long or Short requires a current valuation, cycle-normalised earnings assumptions and a clear view of what the share price already implies.

Research exercise only — not investment advice

Operating evidence

Reported facts are separated from valuation inference

Q3 FY2026	FY2025	Capital intensity
\$9.12bn revenue 50.3% GAAP gross margin \$3.08bn GAAP operating income \$3.17 GAAP EPS	\$28.37bn total revenue \$20.80bn Semiconductor Systems \$6.39bn Applied Global Services \$7.96bn operating cash flow	\$2.26bn FY2025 capex Segment mix and cash conversion must be normalised through the cycle.

Why the business can matter

Engineering lens: process complexity creates both opportunity and execution risk

- Equipment portfolio spans patterning, transistor and interconnect fabrication, process control and advanced packaging.
- AI-related demand can raise the importance of leading-edge logic, high-bandwidth memory and packaging; it does not remove cyclicity.
- Applied Global Services adds spares, services and factory-automation software linked to the installed base.
- The investment question is not 'AI is growing'; it is whether incremental process intensity, service attach and mix are above what the market already prices.

Catalysts to test

Each catalyst needs an observable evidence trail

1. Advanced logic / HBM / packaging

Does spending sustain and does Applied gain in material or process-control steps?

2. Mix and services

Does higher-margin service, automation or differentiated equipment mix improve cycle-normalised economics?

3. Market expectations

Back-solve the growth, margin and reinvestment assumptions implied by today's enterprise value; compare them with a bottom-up, segment-aware model.

Disconfirming risks

The thesis should fail clearly if the evidence turns

- Foundry or memory capex cuts and weaker returns on recently built capacity.
- Trade and export restrictions, including greater difficulty serving some customers or regions.
- Customer concentration: the FY2025 10-K reports two customers contributing approximately 19% and 15% of net revenue.
- Technological substitution, share loss, execution delays or lower-than-expected services resilience.
- A valuation that already assumes a sustained step-up in growth or margins.

Valuation framework before a rating

Build the model; do not reverse-engineer a conclusion

DCF

Start from FY2025 cash flow and capex, then forecast revenue, margin, tax, working capital and reinvestment by segment. Sensitise WACC and terminal growth.

Comparables

Compare ASML, Lam Research, KLA and Tokyo Electron on growth, margin, FCF conversion and exposure—after normalising fiscal years and business mix.

Decision

Only issue a Long or Short when market-implied assumptions differ materially from a traceable base case, with stated catalysts and risks.